KERALA STATE ELECTRICITY REGULATORY COMMISSION
THIRUVANANTHAPURAM

Petition No: OP 82 / 2023

Present : Sri T K Jose, Chairman
Adv. A J Wilson, Member
Sri. B Pradeep, Member

In the matter of	**:**	Petition for approval of truing up of accounts for the financial year 2022-23
Petitioner	**:**	M/s Infopark Kerala
Represented by	**:**	Sri. Vijayan V R, AGM- Projects, Infopark Sri. Arun S, Asst. Engineer- Electrical Sri.Santhosh.V, AGM - Finance Sri. Abdul Rahim, Consultant
Respondent	**:**	M/s Kerala State Electricity Board Limited
Represented by	**:**	Sri. Ajith Kumar K.N, Executive Engineer, KSEB Ltd Sri.Shan B.S, Asst. Executive Engineer, KSEB Ltd Smt. Archana M, Asst. Engineer, KSEB Ltd
Hearing:	:	27.02.2024 at the Court Hall, Office of the Commission

Order Dated 12.07.2024

1. M/s Infopark, Kochi (hereinafter called the licensee or Infopark) is a Government of Kerala Undertaking, engaged in the development of infrastructure for information technology (IT) and information technology enabled services (IT enabled Services). The licensee is providing ready to occupy infrastructure including power distribution to IT companies in Kakkanad and Cherthala area. Infopark, Chertala was granted distribution licence vide order dated 10-5-2010 of the Commission and the electricity distribution operations have commenced from 1-7-2013. The Infopark Phase II campus at Kochi was granted distribution licence vide order dated 18-10-2011.

2. The Commission had notified the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021 for the five-year Control Period starting from the first day of April 2022 and ending on the thirty first day of March 2027. The licensee has filed the petition for truing up of accounts for the year 2022-23 as per the provisions of the KSERC (Terms and Conditions for determination of Tariff) Regulations 2021. The present petition is for the first year of the Control Period.

3. The Commission vide Order in OP No.09/2023 dated 24.01.2024 has approved the ARR&ERC for the Control Period. In the present petition for truing up the accounts, the licensee has claimed a revenue gap of Rs.57.48 lakh compared to revenue gap of Rs.86.29 lakh approved by the Commission in the Order on ARR&ERC. A comparison of the claim made in the present petition with the ARR&ERC approved by the Commission and with the previous year is tabulated below.

Table 1

Comparison of ARR & ERC and Truing Up for 2022-23 (Rs. Lakh)

Particulars	ARR Projected	ARR Approved	For Truing Up
Cost of Power Purchase	557.75	538.24	704.72
Employee cost	27.14	22.95	24.99
A&G Expense	18.48	4.68	8.79
R&M Expense	35.43	24.21	49.71
Depreciation	44.70	47.21	47.21
Interest on Normative Long-Term Loan	57.88	46.78	50.91
Interest on Consumer Deposits & Bank charges	5.15	4.98	4.27
Interest on Working Capital	0.00	0.37	2.70
Carrying cost for past revenue gaps	0.00	53.93	40.55
Return on Equity	38.68	41.30	38.70
Aggregate Revenue Requirement	**785.20**	**784.65**	**972.56**
Revenue from Sale of power	664.65	664.65	874.03
Wheeling Charges	30.74	30.74	36.10
Non-Tariff Income	2.97	2.97	4.95
Total Revenue/ERC	**698.36**	**698.36**	**915.08**
Revenue Surplus / (Deficit)	**(86.84)**	**(86.29)**	**(57.48)**

Table 2

Comparison of truing up of accounts over the years (Rs. lakh)

Particulars	2020-21		2021-22		2022-23
	Truing Up Petition	Trued Up	Truing Up Petition	Trued Up	Truing Up Petition
Power Purchase Cost	471.52	459.76	490.98	490.98	704.72
Prior period Power Purchase Cost	-	1.92	-	-	-
Employee Cost	11.16	11.16	14.40	14.40	24.99
A &G Expenses	2.21	2.21	10.69	6.69	8.79
R&M Expenses	37.44	31.55	43.57	41.13	49.71
Depreciation	44.52	44.52	44.70	44.52	47.21
Interest and Finance Charges	65.53	65.53	56.20	92.47	98.43
Return on NFA	23.70	23.70	22.44	22.36	38.70
Total Expenditure	**656.08**	**640.35**	**682.98**	**712.55**	**972.56**
Revenue from Sale of Power	557.91	557.91	602.31	602.31	874.03
Wheeling Charges	16.81	16.81	21.63	21.63	36.10
Other Income	4.83	4.83	3.24	3.24	4.95
Total Income	**579.55**	**579.55**	**627.18**	**627.18**	**915.08**
Net Surplus/(Deficit)	**(76.53)**	**(60.80)**	**(55.80)**	**(85.37)**	**(57.48)**

4. After examining the petition, the Commission admitted the petition as **OP No. 82/2023.**

Hearing on the Petition

5. The hearing on the petition was conducted at the Court Hall, Office of the Commission on 27-02-2024. Sri. Vijayan V R, AGM- Projects, Sri. Arun S, Asst. Engineer- Electrical and Sri. Abdul Rahim, Consultant represented the petitioner and responded to the queries of the Commission. Sri. Abdul Rahim briefed the petition before the Commission and replied to the queries. The main points mentioned in the presentation are briefed below;

   a) The number of consumers during the year 2022-23 is 187 and the actual sale for the year is 98.58 lakh units.
   b) There are 161 consumers in Kakkanad and 26 consumers in Cherthala campuses. Sales at Kakkanad area is 91.45 lakh units whereas the sales at Cherthala area is 7.13 lakh units only.
   c) The energy purchased from KSEB Ltd is 101.98 lakh units and solar power injected to the grid is 0.28 lakh units. The Total energy requirement for the year 2021-22 is 102.26 lakh units
   d) The overall distribution loss for the year 2022-23 is 3.93% and the actual power purchase cost for the year is Rs.704.72 lakh. Distribution loss of Cherthala area is 18.82% and that of Kakkanad area is 3.08%.
   e) The Commission while approving the norms in the Tariff Regulations 2021 had approved the Operation and Maintenance Expense at Rs.51.84 lakh. The licensee in the petition has claimed total operation and maintenance expense of Rs.83.49 lakh. The major portion of the O&M is towards repair and maintenance for the year
   f) The Employee cost claimed for the year 2022-23 is Rs.24.99 lakh which is the expense towards salary of resident engineers and an accountant who are common for Kakkanad and Cherthala.
   g) The actual R&M expense for the year is Rs.49.71 lakh, which includes the O&M cost of the outsourced agency. The licensee has stated that the outsourced agency has been selected through competitive bidding process.
   h) The A&G expense claimed for the year is Rs.8.79 lakh. For the year 2022-23, the major expenses booked are Insurance, Audit Fees Inspectorate fee, other professional fees etc.
   i) The depreciation claimed for the year 2022-23 is Rs. 47.21 lakh which is in line with the Tariff Regulations 2021.
   j) The licensee has claimed Interest and finance charges of Rs. 98.43 lakh which includes interest on normative loan, interest on security deposit,

Interest on working capital, bank charges and Carrying cost for past revenue gaps

k) Return on Net Fixed Assets (RoNFA) of Rs.38.70 lakh has been claimed by the licensee.

l) The total expenditure incurred in 2022-23 is Rs.972.56 lakh.

m) The Revenue for the sale of 98.58 lakh units in 2022-23 is Rs. 874.03 lakh. Major revenue realisation is from HT I B consumers at Kakkanad

n) The licensee has also accounted Rs.36.10 lakh as wheeling charges from M/s Smart City. The total energy wheeled to Smart City is 60.53 lakh units.

o) The Non-Tariff Income claimed by the licensee is Rs.4.95 lakh which includes interest on investments and deposits, interest on advances etc.

p) The total revenue for the year 2022-23 is Rs.915.08 lakh.

q) The petition for the truing up of accounts for the year 2022-23 is submitted with a revenue gap of 57.48 lakh.

6. KSEB Ltd, vide letter dated 26.02.2024 submitted the following comments on the petition;

a) The energy purchase units and the power purchase cost of Infopark Cherthala and Infopark Kakkanad tally with the records of KSEB Ltd.

b) The distribution loss claimed in the petition is lower than the distribution loss level approved by the Commission. It was submitted that distribution loss reduction being an efficiency parameter, the claimed distribution loss be allowed. It was also pointed out that the distribution loss at Cherthala area is high and submitted that necessary instruction may be issued to the licensee to reduce the distribution loss.

c) The wheeled energy in units tally with the records of KSEB Ltd.

d) The Operation and Maintenance expense claimed is higher than the ceiling level specified in the Tariff Regulations, 2021. It was submitted that Operation and Maintenance expense is a controllable factor and higher cost compared to the ceiling norms are to be disallowed after prudence check.

Analysis and decision of the Commission

7. The Commission considered the petition of the licensee for Truing Up of Accounts for the year 2022-23 along with the clarifications provided in the hearing, the comments of KSEB Ltd and the additional clarifications submitted by the licensee vide letter dated 11.06.2024. The analysis and decisions of the Commission as per the provisions of the Tariff Regulations, 2021 on the petition for Truing Up of Accounts for the year 2022-23 are detailed below.

Energy sales and consumer mix

8. The licensee in the petition submitted area wise details of the number of consumers and sales. There is significant increase in the number of consumers of the licensee. As per the details provided in the petition, there are 161 consumers in Kakkanad and 26 consumers in Cherthala campuses. Sales at Kakkanad area is 91.45 lakh units *(2021-22 - 63.94 lakh units)* whereas the sales at Cherthala area is 7.13 lakh units *(2021-22 - 5.01 lakh units)*. Out of the total sale of 98.58 lakh units, major sale of 59.23 lakh units is to four HT I B consumers. A comparison of the actual number of consumers and the sale of power over the years is shown below.

Table 3
Comparison of no. of consumers and sales

Category	2020-21 Trued Up		2021-22 Trued Up		2022-23 For Truing Up	
	Consumers	Sale (lakh units)	Consumers	Sale (lakh units)	Consumers	Sale (lakh units)
LT Industrial	107	12.99	128	19.49	158	29.97
LT Commercial	22	2.66	23	4.13	23	8.06
Street Lighting	2	1.56	2	1.35	2	1.32
HT 1 B	4	44.89	4	43.98	4	59.23
Total	**135**	**62.10**	**157**	**68.95**	**187**	**98.58**

9. The licensee has stated that the increase in the sales is mainly on account of the discontinuation of Work from Home option provided during the COVID 19 pandemic. ***After analyzing the details and duly considering the recovery from COVID 19, the Commission hereby approves the actual energy sales of 98.58 lakh units as per petition for the purpose of Truing Up of Accounts for the financial year 2022-23.***

Energy Requirement and Distribution Loss

10. The total energy input into the distribution system for the year 2022-23 is 162.79 lakh units. Out of these total input units, 101.98 lakh units energy purchased from KSEB Ltd, 0.28 lakh units solar power injected to the grid and 60.53 lakh units are wheeled through their distribution network for the year 2022-23. Corresponding to the sale of 98.58 lakh units, the distribution loss claimed by the licensee in petition is 3.93%. The details of the distribution loss including the wheeling energy is tabulated below;

Table 4
Distribution loss including wheeling energy for 2022-23

Particulars	2022-23		
	Kakkanad (PH-II)	**Cherthala**	**Total**
Power Purchase from KSEB Ltd (in lakh units)	93.20	8.78	101.98
Wheeled Energy Input (in lakh units)	60.53	0	60.53
Solar Generation (in lakh units)	0.28	0	0.28
Energy Input (in lakh units)	**154.01**	**8.78**	**162.79**

Energy sales to Consumers			
HT Sales (in lakh units)	53.54	5.70	59.24
LT Sales (in lakh units)	37.91	1.43	39.34
Wheeled Energy output (in lakh units)	57.81	0	57.81
Total Output	**149.26**	**7.13**	**156.39**
Distribution loss	4.75	1.65	6.40
Distribution loss %	**3.08%**	**18.82%**	**3.93%**

11. The actual distribution loss for the year 2021-22 was 4.23% which was approved while truing up the accounts for the year as shown below;

Table 5
Distribution loss including wheeling energy for 2021-22

Particulars	Kakkanad (PH-II)	Cherthala	Total
Power Purchase from KSEB Ltd (in lakh units)	64.68	6.42	71.10
Solar Generation (in lakh units)	0.86	-	0.86
Wheeled Energy Input (in lakh units)	39.32	-	39.32
Energy Input (in lakh units)	**104.86**	**6.42**	**111.28**
Energy sales (in lakh units)	63.94	5.01	68.95
Wheeled Energy output (in lakh units)	37.62	-	37.62
Total Energy Output (in lakh units)	**101.56**	**5.01**	**106.57**
Distribution loss (in lakh units)	**3.30**	**1.41**	**4.71**
Distribution loss	**3.14%**	**21.99%**	**4.23%**

12. The Commission while issuing the Order on ARR&ERC for the control period had approved a distribution loss of 4.23% for the year 2022-23 considering the fact that the dismal business at Cherthala Area is contributing to higher incidence of overall distribution loss. The actual energy loss over the years at Infopark Cherthala and purchase/sales are tabulated below.

Table 6
Distribution loss for the past years at Cherthala Phase

Sl.No.	Year	Purchase (lakh Units)	Sale (lakh Units)	Energy Loss (lakh Units)	Energy Loss (%)
1.	2017-18	14.33	12.57	1.76	12.28
2.	2018-19	12.71	11.18	1.52	11.98
3.	2019-20	11.66	10.24	1.42	12.18
4.	2020-21	7.26	5.85	1.41	19.34
5.	2021-22	6.43	5.01	1.41	21.99
6	2022-23	8.78	7.13	1.65	18.82

13. Compared to 2021-22, there is a reduction in the distribution loss. Though there is improvement in the sales compared to previous year, there is no considerable increase in the sales in Cherthala area. The licensee stated vide their clarification dated 11.06.2024 and during the hearing on Truing Up 2021-22, that the underutilization of EHT substation at Cherthala installation was the main reason for increased No-load loss, which in turn increased the overall loss of Infopark Cherthala. However, Infopark is trying its best to reduce the overall loss

by attracting more potential power consumers in the area through effective marketing strategies. Moreover, Infoparks is exploring possibilities to extend power to the consumers of KSEB Ltd in the vicinity of Infoparks through wheeling arrangements. Another proposal is also in progress to hand over the EHT substation of Cherthala to KSEB Ltd to utilize the assets in the optimum level for which application is submitted to KSEB Ltd & follow up actions are in track. ***Considering this, the Commission reiterates that the licensee shall take all earnest efforts to improve the business activities at Cherthala.***

14. Distribution loss is a controllable parameter as per Tariff Regulations, 2021. Regulation 73(3) clearly specifies the methodology to be considered to account for any variation between the actual level of distribution loss and the approved level of the distribution loss. The relevant portions of the Regulation are as shown below:

73. Distribution loss...
.....

(3) Any variation between the actual level of distribution losses and the approved level of distribution losses shall be dealt with, as part of the truing up of the respectivefinancial year in the following manner:-

i. if the actual distribution loss is higher than the approved level of distribution loss for any particular financial year of the control period, then the quantum of power purchase corresponding to the excess distribution loss for that financial year, shall be disallowed at the average cost of power purchase for the respective financial year;

ii. if the actual distribution loss is lower than the approved level of distribution loss for any particular financial year of the control period, then the savings in the power purchase cost corresponding to the difference in distribution loss for that financial year at the average cost of power purchase for the respective financial year, shall be shared between the distribution business/licensee and the consumers in the ratio of 2:1

15. As per Regulation 73, distribution loss is a controllable item, and its reduction is an efficiency parameter. ***Considering the fact that the licensee has achieved a distribution loss better than the distribution loss approved by the Commission, the Commission hereby approves the actual loss of 3.93% achieved by the licensee. The licensee shall take added efforts to reduce the losses further.*** Accordingly, the efficiency gain on distribution loss has to be shared in the ratio of 2:1 between the licensee and consumers i.e., 2/3rd of gain is to be retained by the licensee and 1/3rd is to be passed on to the consumers. Considering the approved distribution loss of 4.23%, the approved energy requirement for the year 2022-23 as shown below:

Table 7
Approved Energy input & Distribution Loss for the year 2022-23

Particulars	Approved in ARR	As per Truing up petition	Trued up
Energy Sales (lakh units) (1)	76.05	98.58	98.58
Wheeled energy Output (lakh units) (2)	49.40	57.81	57.81
Total Energy Output (lakh Units) (1+2)	**125.45**	**156.39**	**156.39**
Distribution Loss (%)	**4.23**	**3.93**	**4.23**
Distribution Loss (lakh Units)	5.54	6.40	6.90
Energy Requirement (lakh units)	**130.99**	**162.79**	**163.29**
Wheeled energy Input (lakh units)	51.73	60.53	60.53
Solar Energy Input	3.07	0.28	0.28
Energy purchase from KSEB Ltd (lakh units)	**76.19**	**101.98**	**102.48**

Power purchase cost

16. The power purchase cost claimed for the year 2022-23 is Rs.704.72 lakh which includes Rs.703.89 lakh incurred for power purchase (101.98 lakh units) from KSEB Ltd and Rs.0.83 lakh towards 0.28 lakh units solar power injected to the grid. The details of power purchase cost as per the petition is given below: -

Table-8
Power Purchase Cost

Source	Energy purchased (lakh units)	Fixed charge (Rs. lakh)	Energy charges (Rs. lakh)	Total cost (Rs. lakh)
KSEB Ltd	101.98	107.91	595.99	703.89
Solar energy from prosumers	0.28		0.83	0.83
Total	**102.26**	107.91	**596.82**	**704.72**

17. Commission notes that there is increase in the quantum of power purchased from KSEB Ltd compared to the previous year, but there is decrease in the quantum purchased from prosumers. During the previous year, the licensee had purchased 0.86 lakh units whereas during the current year, the quantum purchased has reduced to 0.28 lakh units.

18. As per the provision of Kerala State Electricity Regulatory Commission (Renewable Energy and Net Metering) Regulation 2020 (Regulation No.29 (4)), the licensee shall pay for the net electricity banked by the eligible consumer at the end of the settlement period at the APPC of electricity as approved by the Commission for that year. As per the Order on ARR&ERC and Tariff Order pertaining to KSEB Ltd, the APPC of KSEB Ltd shall also be applicable to the distribution licensees, other than KSEB Ltd. The Commission vide the Order dated 23.02.2023 has approved the APPC @Rs.2.69/unit for the settling of surplus energy as on 30.09.2022 and 31.03.2023. ***Therefore, the Commission***

hereby approves the solar power (0.28 lakh units) purchased from the prosumer at the rates of Rs.2.69/ unit at a total cost of Rs.0.75 lakh.

19. The actual distribution loss is lower than the approved level of distribution loss, the savings in the power purchase cost corresponding to the difference in distribution loss for that financial year at the average cost of power purchase for the year, is to be shared between the distribution business/licensee and the consumers in the ratio of 2:1. ***Accordingly, the approved power purchase cost for 2022-23 considering the savings on account of reduction in distribution loss is as shown below;***

Table 9
Savings in cost of power purchase due to excess loss reduction over target level for 2022-23

1	Actual distribution loss (In lakh units)	6.40
2	Approved distribution loss (In lakh units)	6.90
3	Savings on distribution loss (2-1) (In lakh units)	0.50
4	Average power purchase cost (Rs. /kWh)	6.90
5	Efficiency gain at average power purchase cost (Rs. lakh) (3*4)	3.45
6	Efficiency gain to be retained by licensee (2/3rd) (Rs. lakh)	2.30
7	Actual power purchase cost (Rs. lakh)	704.64
8	**Approved power purchase cost (Rs. lakh) (6+5)**	706.94

20. ***Accordingly, the Commission hereby approves Rs.706.94 lakh as power purchase cost for the year 2022-23.***

Operation & Maintenance expenses

21. Operation and Maintenance expenses are controllable expenses which include Employee cost, Repair & Maintenance expenses and Administrative & General expenses. The Commission while approving the ARR & ERC for the control period had approved the O&M expenses as per the normative level and had stated that any additional expenses relating to uncontrollable factors or one-time expenses can be considered at the time of Truing Up of accounts only after prudence check by the Commission. The Commission while approving the norms in the Tariff Regulations, 2021 had approved the Operation and Maintenance expense of Rs.51.84 lakh for 2022-23. The licensee in the petition has claimed total operation and maintenance expense of Rs.83.49 lakh. The comparison of O&M expenses with the previous year is tabulated below;

Table 10
Comparison of O&M Expenses for 2022-23 (Rs. lakh)

Particulars	2022-23		
	ARR Projected	Approved Norms	Truing up petition
Employee Expenses	27.14	22.95	24.99

A&G Expense	18.48	4.68	8.79
R&M Expenses	35.43	24.21	49.71
Total	**81.05**	**51.84**	**83.49**

Table 11
Comparison of O&M Expenses with previous years (Rs. lakh)

Particulars	2020-21		2021-22		2022-23
	Truing Up Petition	Trued Up	Truing Up Petition	Trued Up	Truing Up Petition
Employee Cost	11.16	11.16	14.40	14.40	24.99
A &G Expenses	2.21	2.21	10.69	6.69	8.79
R&M Expenses	37.44	31.55	43.57	41.13	49.71
Total	**50.81**	**44.92**	**68.66**	**62.22**	**83.49**

Employee Cost

22. The employee cost claimed by the licensee for the year 2022-23 is Rs.24.99 lakh which is the expense towards the salary of resident engineers and an accountant who are common for Kakkanad and Cherthala. As per the Tariff Regulations, 2021, the Commission had approved the norm of Rs.22.95 lakh for 2022-23. The comparison of the claims over the years is tabulated below.

Table 12
Comparison of the Employee expenses (Rs. lakh)

Particulars	2020-21	2021-22	2022-23
	Claimed and Trued Up	Claimed and Trued Up	Claimed
Basic Salary	10.43	8.05	15.57
Dearness Allowance (DA)		2.80	5.61
House Rent Allowance		0.42	0.69
Conveyance Allowance		0.08	0.13
Earned Leave encashment	0.73	1.03	0.85
Medical Reimbursement		1.46	
Interim Relief / Wage Revision		0.40	2.14
Arrears		0.16	
Total Employee Costs	**11.16**	**14.40**	**24.99**

23. The licensee in the petition has stated that the main increase is in the basic salary & allowances of employees and another hike in medical reimbursement component which is not controllable. The licensee in the additional clarification dated 11-06-2024 stated that, compared to previous year the employee cost was increased to Rs.24.99 lakh from Rs.14.40 lakh due to the deployment of separate Resident Engineer to Infopark Phase-II. Now there are two Resident Engineers, one for Infopark Cherthala & another for Infopark Phase-II.

24. The licensee has considered full salary of the Resident engineer at Cherthala and has apportioned 50% of the salary of the accountant for the distribution business of the licensee as shown below;

Table 13
Employee expenses for 2022-23

No.	Particulars	Amount
1	Resident Engineer- Cherthala	Rs. 66728.33 X 12 = Rs.800739.96
2	Resident Engineer- Phase II	Rs.100106.83 X 12 = Rs.1201281.96
3	Accountant	Rs. 82939.08 X 12 = Rs.995268.96
4	Half salary of accountant	Rs.497634.48
5	**Employee cost considered (1+2+4)**	**Rs.2499656.40**

25. The Commission has examined the details furnished by the licensee and the claim in the Truing up of accounts as per the provisions of the Tariff Regulations, 2021. As per the Tariff Regulations, 2021, the licensee shall be allowed to recover the operation and maintenance expenses as per the norms specified in Annexure-7 of Tariff Regulations for each financial year of the Control Period.

26. The Annexure-7 of Tariff Regulations 2021 specifies, the base year (2021-22) norms as per Table-9 and approved norms (Third Table under para 3(iii) of Annexure-7) of the O&M expenses of Infopark. The details are given below.

Table 14
O&M Expenses as per the Tariff Regulations, 2021 (Rs. lakh)

Particulars	Base year	Control period				
	2021-22	2022-23	2023-24	2024-25	2025-26	2026-27
Employee Cost	21.98	22.95	23.98	25.04	26.16	27.33
R&M Expenses	23.17	24.21	25.28	26.41	27.59	28.82
A&G Expenses	4.48	4.68	4.89	5.11	5.34	5.57
Total	**49.63**	**51.84**	**54.15**	**56.56**	**59.08**	**61.71**

27. The paragraph-1 of the Annexure-7 of the Tariff Regulations, 2021 specifies inflation rate adopted for tariff determination for the Control Period from 2022-23 to 2026-27. Further, the 'Note' to the paragraph-1 to Annexure-7 permits that, the actual inflation will be allowed at the stage of truing up for the respective years. The relevant provisions of the Regulations, 2021 is stated below.

"Methodology adopted for specifying the Normative Operation & Maintenance (O&M) Costs for the 5-year Control Period (2022-27)

1. The O&M costs consist of:

- *Employee cost;*
- *Administrative & General (A&G) expenses; and*

- *Repair & Maintenance (R&M) costs.*

The annual inflation/ escalation rate under the Control Period (2018-22) was fixed at 4.84% based on the CPI (Industrial workers) & WPI indices in the weightage ratio 70:30, for the 4-year period (2013-14 to 2016-17). Considering the 5-year MYT period in this Regulation and the subdued performance of the economy in the year 2020-21 due to the 'Covid 19' pandemic; it is proposed to fix the annual escalation factor for the 5-year MYT Control Period (2022-23 to 2026-27) as follows: -

a) *The average of the increase in the CPI & WPI indices, for the 4-year period(2017-18 to 2020 -21), as given in Table- 1 below:*

Table- 1
Computation of Escalation Factors for this MYT Regulation

Sl.No	***Escalation factors/ year***	***2017-18***	***2018-19***	***2019-20***	***2020-21***
1	*CPI (Industrial Workers) 2001=100*	*284.42*	*299.90*	*322.50*	*338.69*
2	*Annual CPI increase %*	*3.08*	*5.44*	*7.54*	*5.02*
3	*WPI (2011-12) series*	*114.90*	*119.80*	*121.80*	*123.40*
4	*Annual WPI increase %*	*2.96*	*4.26*	*1.67*	*1.31*
5	*CPI:WPI (70:30) weightage (%)*	*3.04*	*5.09*	*5.78*	*3.91*
6	*Average 4 Year annual increase @* ***70:30 weightage (%)***	***4.454%***			

Note:

The Commission notes that there has been severe fluctuations as far as the inflation indices are concerned. Further, due to the outbreak of COVID 19, and the overall depressing economic situation faced by all major industries in the country, the offtake of electricity during this period has considerably reduced and there is a glut as far as the electricity market is concerned.

However as of now, the economy seems to be on a path of revival and the increase in oil prices have also added to the overall inflation in the economy. Hence, the Commission feels that any data of past indices may not completely reflect the true economic situation in the country and its inflationary trends and therefore is of the opinion that, for the purpose of ARR&ERC for the Control Period, it would be advisable to rely on historical inflation data for the previous four years. But, the actual escalation rates based on the actual inflation existing for each year of the Control Period shall be considered at the time of the truing up of the concerned financial year and would be a more reliable basis. Hence, the actual inflation indices will be allowed at the stage of truing up for the respective years."

28. As discussed in the preceding paragraphs and as specified under Annexure-7 of the Tariff Regulations, 2021, the base year O&M expenses for the Year 2021-22 is Rs.49.63 lakh. The average escalation rate approved by the Commission for the Control Period from 2022-23 to 2026-27 based on the average of the 'consumer price index and whole sale price index' is 4.454%. By applying the escalation rate of 4.454% on the O&M expenses of the base year 2021-22, the O&M Expenses for 2022-23 is Rs.51.84 lakh. However, the Note to the paragraph-1 to the Annexure-7 of the Tariff Regulations 2021 provides that, the escalation rates based on the actual inflation indices shall be adopted for

approving the O&M expenses while Truing up of the respective years. The actual inflation rate of the year 2022-23 is arrived as detailed below.

Table 15
Actual inflation for the year 2022-23

Sl No	Particulars	2021-22	2022-23
1	Consumer Price Index (2016 price level)	123.6333	131.1167
	Increase in CPI in 2022-23 over 2021-22		6.05%
2	Whole Sale Price Index (base year 2011-12)	139.4	152.5
	Increase in WPI in 2022-23 over 2021-22		9.40%
3	Weighted average increase (70% CPI & 30%WPI)		**7.06%**

29. Based on the actual escalation of 7.06% in the year 2022-23, the revised O&M expenses of Info park is approved by the Commission considering actual inflation as given below.

Table 16
Revised O&M expenses of Info park approved for the year 2022-23 considering Actual Inflation (Rs. lakh)

Particulars	Base year	Control Period- 2022-23	
	2021-22	Actual inflation	O&M Approved
Employee Cost	21.98	7.06%	**23.53**
R&M Expenses	23.17	7.06%	**24.81**
A&G Expenses	4.48	7.06%	**4.80**
Total	**49.63**		**53.14**

30. The Commission notes that, the norms arrived in the Tariff Regulations, 2021 was based on the Trued-Up value of 2018-19. In the year 2018-19, the Commission has trued up the cost of one Resident Engineer at Cherthala & One Resident Engineer at Phase-II and half salary of an accountant. Considering this, the cost element of Resident Engineer to Infopark Phase-II has already included in the norms of the licensee. Further the Commission pointed out that, the licensee should take all efforts to limit the O&M expenses within the normative level and any additional expenses relating to pay revision, uncontrollable factors or one-time expenses can be considered at the time of Truing Up of accounts only after prudence check by the Commission.

31. The Commission further noted about the medical reimbursement expenses, it is seen that the expense has increased by Rs.2.14 lakh in 2022-23 from Rs.1.46 lakh in 2021-22. The Commission notes that only 3 number of employees are borne on the strength of the electricity distribution business. ***Hence, the Commission recommends that the licensee may explore the possibility of taking medical insurance for these 3 employees.***

32. ***Accordingly, the Commission hereby approves the employee expenses of Rs.23.53 lakh based on actual inflation rate for the year 2022-23 against the licensee's claim of Rs.24.99 lakh.***

Repair and Maintenance Expenses

33. The licensee has claimed Rs.49.71 lakh towards R&M expenses for the year 2022-23 as against Rs.24.21 lakh specified in the Tariff Regulations, 2021. The comparison of the claims made over the years is tabulated below.

Table 17
R&M expenses over the years

Particulars		(Rs. lakh)
2020-21	ARR Order/Regulations	22.11
	Truing UpPetition	37.44
	Trued Up	31.55
2021-22	ARR Order/Regulations	23.18
	Truing UpPetition	43.57
	Trued Up	41.13
2022-23	ARR Order/Regulations	24.21
	Truing UpPetition	49.71

34. The licensee has in the petition stated that the claim is higher because of hike in the R&M contract costs which were discovered through a transparent process of tendering. The split up of the R&M expenses claimed is tabulated below;

Table 18
Phase wise split up of R&M expenses for the 2022-23 (Rs. lakh)

Particulars	Cherthala	Phase-II	Total
O&M Charges to O&M contractor, M/s Voltas	11.77	22.29	34.06
Cable cellar painting 220kV SS	-	0.98	0.98
Transformer Painting	-	2.72	2.72
Relay testing fees paid to KSEB Ltd	-	3.33	3.33
Power Transformer maintenance charge	-	0.89	0.89
Service & refilling of fire extinguisher	-	0.004	0.004
Replacement of LA	3.16	-	3.16
Relay Testing fees to KSEB Ltd	0.70	-	0.70
Spares	0.06	-	0.06
110 kV Switchyard painting	3.81	-	3.81
Total	**19.50**	**30.21**	**49.71**

35. The licensee has stated that out of Rs.49.71 lakh claimed as the total R&M expense for the year 2022-23, Rs.15.59 lakh is one-time expense and fees for statutory testing of equipment incurred during the year. The licensee vide letter dated 11.06.2024 submitted the revised split up of one-time expenditure which is tabulated below;

Table 19
Split up of one-time expense during 2022-23

Particulars	Category	Rs - Lakhs
Relay testing fees paid to KSEBL/ Statutory agencies	Statutory -quinquennial	4.03
Transformer painting	Onetime	2.72
Replacement of LA at Cherthala	Onetime cost	3.16
110 KV Switchyard painting	Onetime cost	3.81
Cable cellar painting at 220 KV substation	Onetime cost	0.98
Power Transformer maintenance charge	Onetime cost	0.89
Total		**15.59**

36. The Commission examined the submission of the licensee and noted that, Rs.15.59 lakh as claimed is in the nature one-time expense out of Rs.49.71 lakh of total R&M expense claimed for the year 2022-23. It is pertinent to note that KSEB Ltd in their comments on the petition had stated that, most of the works listed under one-time repair works belongs to routine works especially, transformer painting, 110KV switchyard painting, Cable cellar painting at 220Kv substation and relay testing etc. Only, Replacement of Lightning Arrestor at Cherthala of Rs.3.16 lakh is eligible for one-time repair works.

37. As per the provision of Tariff Regulations, 2021, any one-time expenditure can be allowed by the Commission in addition to the norms after-prudence check, considering the circumstances, details and justification furnished by the licensee. The relevant provisions are stated below.

    80. Operation and Maintenance expenses.–

    (3) Any one time Operation and maintenance expenditure of a special nature not in the form of routine repair and maintenance, if any, if required and is undertaken by the distribution licensee, expenses for such maintenance may be allowed by the Commission after prudence check, considering the circumstances, details and justification furnished by the Distribution business/ licensee for incurring such an expenditure, to the satisfaction of the Commission.

38. Considering the above provisions, the Commission noted that, the expenses of Rs.2.72 lakh for Transformer painting, Rs.3.16 lakh for Replacement of LA at Cherthala, Rs.3.81 lakh for 110 KV Switchyard painting and Rs.0.98 lakh for cable cellar painting at 220 KV substation can be considered as One-time expenses (Total Expenses of Rs.10.67 lakh) for the year 2022-23 and the other expenses cannot be considered as a one-time maintenance expense.

39. After examining the details and explanations furnished by the licensee, the Commission hereby approves the one-time repair and maintenance charges of

Rs.10.76 lakh for the year 2021-22. ***The Commission after considering the details in the petition and clarifications submitted by the licensee as well as comments of KSEB Ltd, hereby approves Rs.35.57 lakh (Rs.24.81 lakh+ Rs.10.76 lakh) as R&M expenses for the year 2022-23.***

Administration & General Expenses

40. The licensee in the petition has claimed A&G expense of Rs.8.79 lakh as against the approved amount of Rs.4.68 lakh in the Tariff Regulations, 2021. The claim for the year is higher by Rs.2.11 lakh than the claim made in 2021-22. A comparison of the Administrative and General expenses with the previous year is tabulated hereunder.

Table 20
Administrative & General Expenses for 2021-22 and 2022-23 (Rs. lakh)

Particulars	2021-22	2022-23
	Claimed and Trued Up	Truing Up Petition
Insurance	0.63	1.49
License and filing fee	0.96	0.51
Inspectorate fee -	1.41	1.80
Telephone and postage	0.20	0.22
Audit Fees	2.60	2.20
Vehicle Running Expenses	0.69	0.75
Printing and Stationery	0.20	0.19
Training fees at KSEB Ltd	-	0.14
Other professional fees	-	1.10
ABT meter testing fee	-	0.39
Total	**6.69**	**8.79**

41. The licensee has stated that A&G expenses increased due to the additional expenses incurred for ABT meter testing fee, Fees for training of Substation staff at KSEB training institute, payment to consultant towards ARR-ERC preparation and submission and increased premium paid for insurance coverage of distribution assets etc. The licensee has also stated that the insurance premium had increased to Rs.1.49 lakh during 2022-23 compared to Rs.0.63 lakh in 2021-22.

42. The Commission examined the submission of the licensee and noted that, the addition in expenses of Rs.1.24 lakh towards the training fees at KSEB Ltd (Rs.0.14 lakh) and other professional fees (Rs.1.10 lakh) can be considered as one-time expenses for the year 2022-23. ***Therefore, the Commission hereby approves Rs.1.24 lakh as onetime expenses under A&G expenses.***

43. Considering Para 31 of this Order, the Commission has already approved Rs.4.80 lakh as A&G Expenses based on actual inflation rate for the year 2022-23. ***Accordingly, the Commission hereby approves an amount of Rs.6.04***

lakh (Rs.4.80 lakh + Rs.1.24 lakh) including one-time expense, as the A&G expenses for the year 2022-23.

O&M Expenses Approved

44. The O&M expense, which is inclusive of Employee costs, R&M expenses, and A&G expenses, approved by the Commission for the year 2022-23, is as shown in Table below:

Table 21
O&M Expenses approved for 2022-23 (Rs. lakh)

Particulars	2022-23		
	Approved Norms	Truing up petition	Trued Up
Employee Expenses	22.95	24.99	23.53
A&G Expense	4.68	8.79	6.04
R&M Expenses	24.21	49.71	35.57
Total	**51.84**	**83.49**	**65.14**

45. ***The Commission hereby approves the O&M expenses of Rs.65.14 lakh for the period 2022-23 against Rs.83.49 lakh claimed in the petition***.

Asset Addition

46. The licensee in the petition has considered the asset addition of Rs.47.61 lakh towards expenditure with regard to major replacement and repair work on the 220 kV Siemens Gas Insulated Switchgear which has already been approved by the Commission while truing up the accounts for the year 2021-22. ***During the year 2022-23, the licensee has not made any assets additions.***

Depreciation

47. The licensee in the petition has claimed a depreciation of Rs.47.21 lakh in the straight-line method in line with the Tariff Regulations, 2021 for the assets created using own funds at Infopark Phase I, Cherthala and Infopark Phase II, Kakkanad. The Commission while truing up the accounts for the year 2021-22 had approved a depreciation of Rs.44.70 lakh. Since the capital expenditure of Rs.4311.95 lakh at Kakkanad Phase II was met out of Government grant no depreciation has been claimed. The depreciation claimed for the year 2022-23 is shown below;

Table 22
Depreciation claimed for the year 2022-23

Assets group	Rate of depreciation (%)	GFA beginning of the year (Rs. Lakh)	2022-23 (Rs. Lakh)
Infopark Phase I, Cherthala			
Other Civil works	3.34%	186.94	6.24
HV Distribution System			
Transformers	5.28%	180.30	9.52
Switchgears, Control gear & Protection	5.28%	288.03	15.21

Assets group	Rate of depreciation (%)	GFA beginning of the year (Rs. Lakh)	2022-23 (Rs. Lakh)
Infopark Phase I, Cherthala			
Batteries	5.28%	13.45	0.71
Others	3.34%	52.70	1.76
LT Distribution System			
Distribution lines	5.28%	14.61	0.77
Transformers	5.28%	20.26	1.07
Switchgears, Control gear & Protection	5.28%	110.00	5.81
Batteries	5.28%	1.67	0.09
Tariff Meters	5.28%	3.38	0.18
Others	3.34%	99.97	3.34
Total		**971.31**	**44.70**
Land and land rights	NA	150.00	0.00
Infopark Phase II, Kakkanad			
EHV Substation switchgears etc	5.28%	47.61	2.51
Grand Total		**1168.92**	**47.21**

48. The Commission has examined the details furnished in the petition and the claim is in line with the provisions of the Tariff Regulations, 2021. The Commission hereby ***approves depreciation of Rs.47.21 lakh for the year 2022-23 as claimed by the licensee.***

Interest and finance charges

49. The licensee in the petition has claimed interest and finance charges of Rs.98.43 lakh which include interest on normative loan, interest on working capital, interest on security deposit & bank charges and Carrying cost for past revenue gap. The comparison of interest and finance charges is tabulated below;

Table 23
Interest and Finance Charges for 2021-22 and 2022-23 (Rs. lakh)

Particulars	2021-22		2022-23
	For truing up	Trued Up	For truing up
Interest on Normative Loan	50.80	50.70	50.91
Interest on working capital	0.34	0.43	2.70
Interest paid to Consumers	4.08	4.08	3.79
Bank charges	0.98	0.98	0.48
Carrying cost for past revenue gaps		36.28	40.55
Total	**56.20**	**92.47**	**98.43**

A. Interest on Normative Loan

50. The main source of fund for the capital investment at Cherthala was met from the loan availed by Infopark from South Indian Bank Ltd at a rate of 10%. The loan was sanctioned in the year 2010-11 and the entire loan availed by Infopark was repaid by 21st July 2017, using internal funds including lease rentals. As per Regulation 29(4) of Tariff Regulations 2021, the rate of interest shall be the weighted average rate calculated on the basis of the actual loan portfolio at the beginning of each financial year. Further, provided that if the regulated business

of the licensee does not have actual loan, but normative loan is outstanding, then interest shall be allowed at the base rate. The interest on Normative Loan claimed by the licensee is tabulated below;

Table 24
Interest on Normative loan approved for 2022-23

Particulars	Rs. lakh
Gross normative loan opening	971.31
Cumulative repayment of Normative loans upto previous year	268.02
Net Opening Normativeloan	703.29
(Add) Additional normative loan	47.61
Opening Normativeloan (A)	750.90
(Less) Allowable depreciation/ Repayment	47.21
Closing Normative Loan (B)	703.69
Average NormativeLoan [(A+B)/2]	727.29
Rate of Interest (%)	7.00%
Interest on Normative loan	**50.91**

51. The Commission had taken a considered decision that the licensee is eligible to claim interest on normative loan for the value of assets created from own funds at Cherthala and Kakkanad. The Commission has examined the licensee's submission with reference to the provisions of the Regulations. As per Regulation 29(2) the normative loan outstanding as on the First day of April 2022 shall be worked out by deducting the amount of cumulative repayment as approved by the Commission up to the Thirty First day of March, 2022, from the normative loan. As per second proviso to Regulation 29 (4) of the Tariff Regulations 2021, if there is no actual loan portfolio, interest charge is to be allowed at the base rate. The base rate is the External Benchmark-Linked Lending Rate (EBLR) declared by the State Bank of India as applicable on first day of April of respective financial year. Based on the asset addition for the year, the normative loan is worked out as shown below.

Table 25
Normative loan approved for 2022-23

No	Particulars	(Rs. lakh)
1	**Normative loan at the beginning of the year**	**703.29**
2	Add: Additional Normative loan on 01-04-2022	47.61
3	**Opening Normative Loan**	**750.90**
4	Less: Allowable Depreciation/ Repayment for the year	47.21
5	**Closing Normative loan for the year (3-4)**	**703.69**
6	Average Loan for the year (3+5)/2	727.29
	Rate of Interest (%)	6.65*
7	**Interest on Normative loan for the year**	**48.36**

**EBLR of SBI as on 01-04-2022*

52. ***Accordingly, the interest on normative loan approved by the Commission for the year 2022-23 is Rs.48.36 lakh.***

B. Interest on security deposits and Bank charges

53. The licensee has claimed an amount of Rs.3.78 lakh as the interest on security deposit and Rs.0.48 lakh towards bank charges for the year 2022-23. A comparison of the interest on security deposit and bank charges over the years is tabulated below;

Table 26
Details of Interest on security deposits and Bank charges claimed by licensee (Rs. Lakh)

Particulars	2020-21	2021-22	2022-23
	Claimed and Trued Up	Claimed and Trued Up	Truing Up
Interest paid to Consumers	5.22	4.08	3.78
Bank charges	0.82	0.98	0.48
Total	**6.04**	**5.06**	**4.27**

54. The claim of interest on security deposit and bank charges is lower than the previous year. The licensee has stated that the reduction in interest rate is the reason for the decrease in the interest on security deposit compared the previous year. ***The Commission examined the submission and approves Rs.4.26 lakh as claimed by the licensee towards the Interest on security deposits and Bank charges.***

C. Interest on working Capital

55. The licensee has claimed an amount of Rs.2.70 lakh as interest on working capital for the year 2022-23. The claim made by the licensee is tabulated below;

Table 27
Details of Interest on working capital (Rs. lakh)

Particulars	2022-23
O&M expenses - 1 month	4.32
Maintenance Spares - 1 month average	0.00
Receivables for Two months of ERC	145.67
Less: Security Deposits (Cash)	117.27
Total Working Capital	32.72
Interest Rate (MCLR+2%) *	8.25%
Interest on Working Capital	2.70

56. As per the Tariff Regulations 2021, Regulation 32 states that interest on working capital for a distribution licensee is to be computed in the following manner. The relevant portion of Regulation 32 is quoted hereunder;

"32. Interest on working capital. – (1) The generation business/company or transmission business/licensee or distribution business/licensee or the State Load Despatch Centre shall be allowed interest on the normative level of working capital for the financial year, computed as under:-

.....

(v) In the case of distribution business/licensee the working capital shall comprise of:-

I. operation and maintenance expenses for one month; plus

II. cost of maintenance spares equivalent to one-twelfth of the average of the book value of stores, materials and supplies at the beginning and end of the financial year; plus

III. receivables equal to the expected revenue from sale of electricity for two months at the prevailing tariff:

Provided that the amount, if any, held as security deposits except the security deposits held in the form of Bank Guarantee from users of the distribution system and consumers shall be reduced while computing the working capital requirement;

Provided further that for distribution business/licensees who supply electricity to their consumers on prepaid metering system, no interest on working capital shall be allowed.

……..

(2) Interest on normative level of working capital as per this Regulation shall be allowed at a rate equal to two percentage higher than the base rate as on the first day of April of the respective financial year, in respect of which the petition for approval of Aggregate Revenue Requirement and determination of tariff is filed"

57. The licensee has worked out the interest on working capital requirement as per the provisions of the Tariff Regulations 2021, where the interest rate considered is not as per the Tariff Regulations 2021. As per the provisions of the regulations, interest rate is the External Benchmark-Linked Lending Rate (EBLR) declared by the State Bank of India. Based on the approved O&M expenses and revenue from sale of power and the EBLR rate, ***the Commission approves Rs.2.93 lakh as interest on working capital for the year 2022-23 as worked out below:***

Table 28
Interest on Working capital approved for 2022-23

Particulars	**(Rs. lakh)**
Approved O & M Expenses for One month (65.14/12)	5.43
Receivables-2 months Revenue from sale of power (3508.93/12 x 2)	145.67
Less: Security Deposit from Consumers	117.27
Net Working Capital Requirement	**33.83**
Interest Rate (%) *	8.65
Interest on Working Capital	**2.93**

**SBI 1-year EBLR – 6.65% on 01-04-2022 plus 2% thereof total 8.65%*

58. ***Accordingly, the Commission hereby approves Rs.2.93 lakh as interest on working capital for the year 2022-23.***

D. Carrying cost for past revenue gaps

59. The Commission had in the True-up Order 2021-22 approved Rs.811.01 lakh as the cumulative revenue gap till 2021-22. The Carrying cost of cumulative revenue gap is to be allowed considering the cost of funds actually incurred by the entity for funding the revenue gap.

60. The rate of interest is to be considered for computing the carrying cost is at a rate of 5.10% per annum (the retail term deposit rate of SBI for a tenure of one year as on 01-04-2022). ***Accordingly, the carrying cost for past revenue gaps to be considered for an amount of Rs.811.01 lakh works out to Rs.41.36 lakh (Rs.811.01 lakh * 5.10%).***

61. ***Accordingly, the total interest and finance charges approved for the year 2022-23 is Rs.95.32 lakh***. Details are as shown below;

Table 29

Approved Interest and Finance Charges for 2022-23 (Rs. lakh)

Particulars	For truing up	Trued Up
Interest on Normative Loan	50.91	48.36
Interest on working capital	2.70	2.93
Interest paid to Consumers	3.79	3.78
Bank charges	0.48	0.48
Carrying cost for past revenue gaps	40.55	41.36
Total	**98.43**	**96.91**

Return on Net Fixed Assets

62. The licensee in the petition for Truing up of accounts for the year 2022-23 has claimed an amount of Rs.38.70 lakh as Return on Net Fixed Assets. The licensee has reckoned 5.50% of the value of net fixed assets at the beginning of the year (Rs.703.69 lakh x 5.50%). The Commission while approving the truing up of accounts in 2021-22 had allowed RoNFA of Rs.22.36 lakh in accordance with the provisions of the Regulations. During the previous control period, the return was allowed at 3%. The increase in the claim compared to the previous year is on account of change in the rate of return. The Commission while approving the ARR & ERC had approved an amount of Rs.41.30 lakh as RoNFA for the year 2022-23.

63. As per Regulation 28 of Tariff Regulations, 2021, if the equity capital of the licensee is not clearly identifiable, the return shall be allowed at 5.50 percent on the net fixed assets at the beginning of the financial year for such regulated

business. ***Accordingly, the Commission hereby approves Return on Net Fixed Assets of Rs.41.30 lakh for the year 2022-23.***

Table 30
Return on NFA approved for 2022-23

Particulars	Rs. lakh
Opening Gross Fixed Assets (967.93+3.38+47.61)	1018.92
Opening Cumulative Depreciation (222.60+45.42)	268.02
Opening NFA	750.90
Return on NFA@5.50%	**41.30**

Revenue from Sale of Power

64. The licensee in the petition has claimed an amount of Rs.874.03 lakh as revenue for the sale of 98.58 lakh units. As per the petition, major share of revenue from sale of power is from HT I B and Industrial category. Category wise comparison of the revenue from sale of power for the years 2021-22 and 2022-23 are as shown below.

Table 31
Comparison of Revenue from Sale of Power for 2021-22 and 2022-23

Category	2021-22			2022-23		
	Consumers	Sales Lakh units	Revenue (Rs Lakh)	Consumers	Sales Lakh units	Revenue (Rs Lakh)
Industrial	128	19.49	168.06	158	29.97	261.69
Commercial	23	4.13	44.82	23	8.06	84.41
Street lights	2	1.35	5.85	2	1.32	6.10
HT-1B	4	43.98	383.58	4	59.23	521.84
Total	**157**	**68.95**	**602.31**	**187**	**98.58**	**874.03**

65. The Commission while truing up the accounts for the year 2021-22 had approved a sale of 68.95 lakh units and revenue of Rs.602.31 lakh. Compared to the previous year, there is significant increase in the sales and revenue which in turn shows signs of recovery from the general industrial slowdown due to the Covid-19 pandemic. ***Accordingly, the Commission hereby approves the revenue from sale of power at Rs.874.03 lakh as claimed by the licensee for the purpose of Truing Up of Accounts for the year 2022-23.***

Wheeling Charges

66. The licensee has accounted Rs.36.10 lakh as wheeling charges from M/s Smart City. The total energy wheeled to Smart City is 60.53 lakh units during the year 2022-23. During the previous year, the licensee had claimed Rs.21.63 lakh for 39.32 lakh units as wheeling charge. ***Considering the increase, the Commission hereby approves Rs.36.10 lakh as the wheeling charge for the year 2022-23.***

Non-Tariff Income

67. The Non-tariff income claimed by the licensee includes interest on deposits, interest on delayed payments and meter rent. It is seen that the non-tariff income for 2022-23 has shown increase compared to the previous year. The split-up details of non-Tariff income are shown below.

Table 32
Comparison of Non-Tariff Income (Rs. lakh)

Particulars	2020-21	2021-22	2022-23
	Claimed and Trued Up	Claimed and Trued Up	For truing up
Interest on investments, fixed and call deposits and bank balances	2.00	1.00	1.38
Interest Received from others (KSEB Ltd)	2.53	1.38	1.27
Interest on delayed or deferred payment of bills	-	0.30	0.53
Meter Cost	0.23	0.30	0.48
Meter Installation Charge	0.08	0.26	1.00
Ele Duty Collection Charge	-	0.30	0.29
Total	**4.83**	**3.54**	**4.95**

68. ***The Commission considers the claims and approves Rs.4.95 lakh as actual non-tariff income for the year 2022-23.***

69. Based on the above, the approved expenditure and revenue for the year 2022-23 after Truing Up is as shown below:

Table 33
Income and Expenditure Statement after Truing Up for 2022-23 (Rs. lakh)

Particulars	ARR Approved	For Truing Up	Trued Up
Cost of Power Purchase	538.24	704.72	706.94
Employee cost	22.95	24.99	23.53
A&G Expense	4.68	8.79	6.04
R&M Expense	24.21	49.71	35.57
Depreciation	47.21	47.21	47.21
Interest on Normative Long-Term Loan	46.78	50.91	48.36
Interest on Consumer Deposits & Bank charges	4.98	4.27	4.26
Interest on Working Capital	0.37	2.70	2.93
Carrying cost for past revenue gaps	53.93	40.55	41.36
Return on Net Fixed Assets	41.30	38.70	41.30
Aggregate Revenue Requirement	**784.65**	**972.56**	**957.50**
Revenue from Sale of power	664.65	874.03	874.03
Wheeling Charges	30.74	36.10	36.10
Non-Tariff Income	2.97	4.95	4.95
Total Revenue/ERC	**698.36**	**915.08**	**915.08**
Revenue Surplus / (Deficit)	**(86.29)**	**(57.48)**	**(42.42)**

Revenue Surplus/Gap for 2022-23

70. As against the ARR&ERC approved Revenue gap of Rs.86.29 lakh for the year 2022-23, the licensee for Truing Up of Accounts has claimed a Revenue gap of Rs.57.48 lakh. After examining the petition, details briefed during the hearing, the clarifications submitted, the approved Revenue (Gap)/ Surplus for the year 2022-23 after Truing Up the accounts is as shown below.

Table 34

Revenue (Gap)/ Surplus Approved for the year 2022-23 (Rs. lakh)

Particulars	2022-23		
	ARR & ERC	For Truing Up	Trued Up
Total Expenditure	**784.65**	**972.56**	**957.50**
Total Income	**698.36**	**915.08**	**915.08**
Net Surplus/(Deficit)	**(86.29)**	**(57.48)**	**(42.42)**

Orders of the Commission

71. The Commission after considering the petition filed by M/s. Infopark for Truing Up of Accounts for the year 2022-23, views presented by the licensee during the hearing and the clarifications and details provided by the licensee approves the following:

a) Total income is Rs.915.08 lakh

b) Total expenditure is Rs.957.50 lakh

c) The revenue gap for the year 2022-23 is Rs.42.42 lakh

d) Total cumulative revenue gap till 2022-23 will be Rs.853.43 lakh (Rs.811.01 lakh as opening cumulative revenue gap + current year revenue gap of Rs.42.42 lakh)

72. The petition is disposed of. Ordered accordingly.

Sd/-	Sd/-	Sd/-
Sri. T.K Jose	**Adv. A. J. Wilson**	**Sri. B. Pradeep**
Chairman	**Member**	**Member**

Approved for issue

Sd/-

C.R.Satheesh Chandran

Secretary